

TSMC (2330 TT)

Solid AI-Driven Outlook, Slightly Positive Near Term

Maintained **Buy**
Target price NT\$ 2,900

Raise TP to NT\$2,900: TSMC will host its 2Q26 analyst meeting on July 16, and we expect the event to be slightly positive, with a likely lift to full-year guidance but higher expectations for near-term margins and 2027 capex. Nevertheless, we continue to see sustained leading-edge UTR driven by AI accelerators and CPUs, alongside the trend toward larger on-chip memory that cannot be shrunk. Notably, TSMC's capex acceleration began in 2025, 1.5–2 years after the AI cycle took off, implying that some share loss or demand overflow was/is unavoidable. As such, we expect TSMC to further accelerate N5/N3/N2 capacity additions, likely in 2H27, along with strategic pricing. We revise our EPS forecasts by +3%/+12% for 2026E/2027E and raise our TP to NT\$2,900, now based on 24x blended 2026E/2027E EPS.

Earnings conference preview: For 2Q26, we expect its revenue to be up 11% QoQ (vs. guidance of up 10% at mid-point), GM to be ~68% (vs. guidance of 65.5-67.5% or Bloomberg consensus of 67%, or raised consensus of 69-70%). For 3Q26 and 2026, we estimate its revenue to grow by 13% QoQ (vs. consensus of 9% QoQ), GM to be down to 67.1% (vs. consensus of 65.8%) and a likely raise to full-year guidance from current guidance of above 30% YoY. Lastly, we forecast its 2026 capex to be \$56bn, at the upper end of its guidance, yet TSMC is unlikely to provide 2027 capex this time, and we estimate it to be \$73bn, lower than consensus' \$80bn above due to EUV constraints.

Accelerating capex/capacity to catch up AI demand: TSMC's capex acceleration began in 2025, 1.5–2 years after the AI cycle took off, implying that some share loss or demand overflow was unavoidable. We see TSMC moving more aggressively to expand both leading-edge and advanced-packaging capacity to meet AI demand, with an aggressive ramp across N2 (90KPM/150KPM by end-2026/2027), N3 (170KPM/205KPM), and CoWoS (including 3DIC in 2028). Capex is set to step up meaningfully in 2026–27 to support new cleanrooms and higher capital intensity for advanced nodes, and we estimate spending at US\$56bn/US\$73bn. However, a key to watch is EUV supply, which is constrained into 2027 and may cap both capex and equipment spending.

Risks: 1) AI slowdown; 2) consumer demand; 3) peer competition; 4) capacity delay.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	2,894,308	3,809,054	5,394,557	7,164,314	8,925,611
Revenue YoY (%)	33.9	31.6	41.6	32.8	24.6
Net profit (m)	1,173,268	1,717,883	2,688,091	3,569,025	4,511,406
Net profit YoY (%)	39.9	46.4	56.5	32.8	26.4
EPS (NT\$)	45.2	66.2	103.7	137.6	174.0
P/E	46.1	31.5	23.5	17.7	14.0
ROE (%)	27.1	31.5	38.7	38.7	36.4

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Figure 1: TSMC's revenue (USD) YoY



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings Revision

We expect TSMC to further accelerate N5/N3/N2 capacity additions, likely in 2H27, along with higher pricing for advanced nodes. We revise our EPS forecasts by +3%/+12% for 2026E/2027E.

Figure 2: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	3,809,054	5,330,692	5,394,557	6,646,815	7,164,314	1%	8%
Gross profit	2,281,294	3,509,007	3,607,452	4,339,959	4,794,265	3%	10%
EBIT	1,936,092	3,062,678	3,155,122	3,764,859	4,210,365	3%	12%
Pre-tax Income	2,041,663	3,158,962	3,263,873	3,881,133	4,336,170	3%	12%
Net profit	1,717,883	2,601,701	2,688,091	3,193,465	3,569,025	3%	12%
EPS (NT\$)	66.2	100.3	103.7	123.2	137.6	3%	12%
Key ratios (%)							
Gross margin	59.9%	65.8%	66.9%	65.3%	66.9%		
Operating margin	50.8%	57.5%	58.5%	56.6%	58.8%		
Pre-tax margin	53.6%	59.3%	60.5%	58.4%	60.5%		
Net profit margin	45.1%	48.8%	49.8%	48.0%	49.8%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: TSMC's P&L forecast

(NTD m)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	3,809,054	1,134,103	1,267,025	1,426,945	1,566,484	5,394,557	1,586,604	1,722,410	1,887,953	1,967,347	7,164,314
COGS	1,527,760	382,808	405,589	469,608	529,100	1,787,105	536,706	573,803	617,145	642,395	2,370,049
Gross profit	2,281,294	751,295	861,435	957,337	1,037,384	3,607,452	1,049,899	1,148,607	1,270,808	1,324,952	4,794,265
Opex	-345,202	-92,329	-107,200	-120,000	-132,800	-452,329	-132,500	-140,200	-152,500	-158,700	-583,900
Operating profit	1,936,092	658,966	754,235	837,337	904,584	3,155,122	917,399	1,008,407	1,118,308	1,166,252	4,210,365
Non-op profit	105,571	28,834	26,766	26,766	26,386	108,751	31,451	31,451	31,451	31,451	125,805
Pre-tax profit	2,041,663	687,800	781,001	864,103	930,969	3,263,873	948,850	1,039,859	1,149,759	1,197,703	4,336,170
Income tax	-326,266	-114,998	-156,200	-146,897	-158,265	-576,361	-161,304	-207,972	-195,459	-203,609	-768,345
Minority interest	2,486	-322	300	300	300	578	300	300	300	300	1,200
Net Income	1,717,883	572,480	625,101	717,505	773,005	2,688,091	787,845	832,187	954,600	994,393	3,569,025
EPS (NT\$)	66.3	22.1	24.1	27.7	29.8	103.7	30.4	32.1	36.8	38.3	137.6
Outstanding shares	25,930	25,930	25,930	25,930	25,930	25,930	25,930	25,930	25,930	25,930	25,930
Margin analysis											
Gross margin	59.9%	66.2%	68.0%	67.1%	66.2%	66.9%	66.2%	66.7%	67.3%	67.3%	66.9%
Operating margin	50.8%	58.1%	59.5%	58.7%	57.7%	58.5%	57.8%	58.5%	59.2%	59.3%	58.8%
Pre-tax margin	53.6%	60.6%	61.6%	60.6%	59.4%	60.5%	59.8%	60.4%	60.9%	60.9%	60.5%
Effective tax rate	16.0%	16.7%	20.0%	17.0%	17.0%	17.7%	17.0%	20.0%	17.0%	17.0%	17.7%
Growth (YoY%)											
Sales	32%	35%	36%	44%	50%	42%	40%	36%	32%	26%	33%
Operating profit	46%	62%	63%	67%	60%	63%	39%	34%	34%	29%	33%
Net income	46%	58%	57%	59%	53%	56%	38%	33%	33%	29%	33%
EPS	46%	58%	57%	59%	53%	56%	38%	33%	33%	29%	33%
Product mix (%)											
Wafer	86%	86%	83%	82%	81%	83%	81%	81%	80%	78%	80%
Others	14%	14%	17%	18%	19%	17%	19%	19%	20%	22%	20%

Sources: Company data, GF Securities (Hong Kong) Brokerage

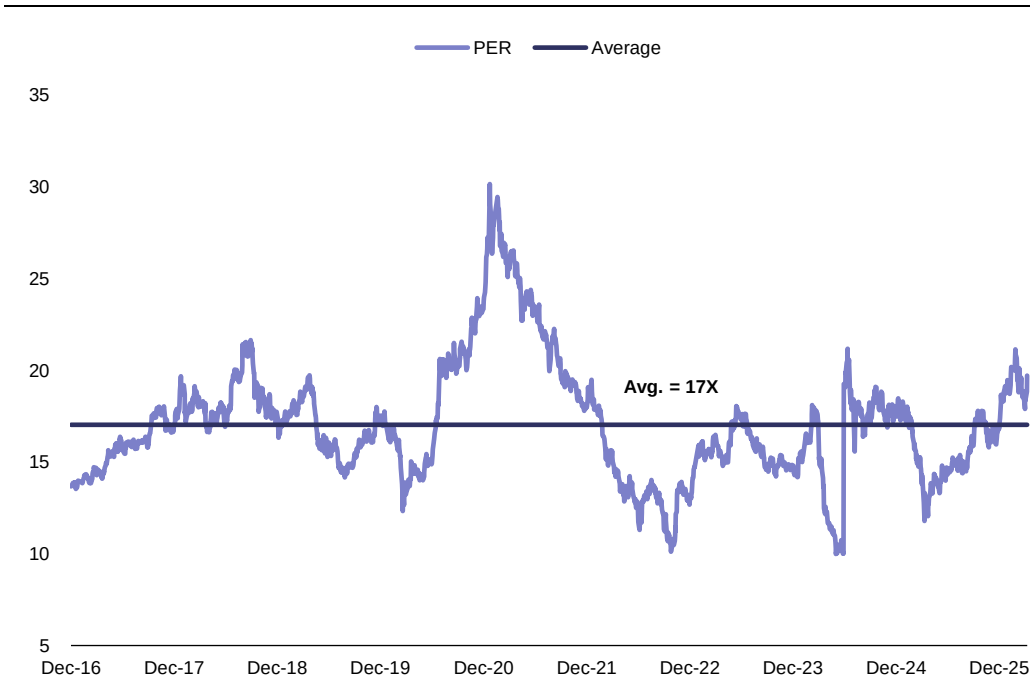
Valuation and Recommendation

Maintain Buy with TP of \$2,900

We rate TSMC (2330 TT) Buy and set our TP at NT\$2,900, which is now based on 24x our 2026E/2027E EPS estimate, lower than previous 25x due to a likely share loss due to demand overflow. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we note that the Street has switched from P/B method to P/E method in the past ~10 years, given TSMC's reduced cyclicality.

TSMC P/E traded at an average of 18x since 4Q22, when the AI cycle started. Our target price is 20-25% higher than the level seen in this AI cycle. However, we believe the stock to be impacted by the geo-political tension, which has proved to be a critical factor for TSMC shares in the past but is being eased. We forecast its earnings CAGR of ~25% until 2027 with intact margin trend. Further upside or downside to valuation remains the geo-political risks and AI momentum.

Figure 4: TSMC's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI slowdown; 2) consumer demand; 3) peer competition; 4) capacity delay.

Balance Sheet	NTD mn				
	2024	2025	2026E	2027E	2028E
Current assets	3,088,352	3,817,131	4,727,362	6,026,848	7,829,867
Cash and cash equivalents	2,127,627	3,068,595	3,738,268	4,713,897	6,210,000
Inventory	287,869	288,109	337,018	446,951	540,967
Accounts Receivable	272,088	281,791	399,085	530,011	660,310
Other current assets	400,768	178,635	252,992	335,989	418,590
Non-current assets	3,603,586	4,115,893	5,121,253	6,510,546	8,330,967
Long-term equity investment	149,040	172,370	177,370	182,370	187,370
Fixed assets	3,234,980	3,691,841	4,692,201	6,076,494	7,891,915
Other long-term assets	219,566	251,682	251,682	251,682	251,682
Total assets	6,691,938	7,933,024	9,848,616	12,537,393	16,160,833
Current liabilities	1,264,525	1,458,019	1,973,440	2,555,594	3,135,271
Accounts Payable	74,227	84,330	98,646	130,824	158,342
Short-term borrowings	59,858	136,926	123,233	98,587	78,869
Other current liabilities	1,130,440	1,236,763	1,751,561	2,326,184	2,898,060
Non-current liabilities	1,103,837	1,014,209	924,603	763,312	634,279
Long-term Debt	926,604	896,062	806,456	645,165	516,132
Other non-current liabilities	177,233	118,147	118,147	118,147	118,147
Total liabilities	2,368,362	2,472,229	2,898,043	3,318,906	3,769,551
Total Equity	4,323,576	5,460,795	6,950,573	9,218,487	12,391,283
Share Capital	259,327	259,325	259,325	259,325	259,325
Additional Paid-in Capital	458,144	97,968	47,968	-27,032	-139,532
Retained earnings	3,606,105	5,103,502	6,643,279	8,986,194	12,271,489
Preferred Stocks	-	-	-	-	-
Total Liabilities & Equity	6,691,938	7,933,024	9,848,616	12,537,393	16,160,833

Income Statement	NTD mn				
	2024	2025	2026E	2027E	2028E
Revenue	2,894,308	3,809,054	5,394,557	7,164,314	8,925,611
Cost of sales	1,269,954	1,527,760	1,787,105	2,370,049	2,868,589
Gross profit	1,624,354	2,281,294	3,607,452	4,794,265	6,057,023
Operating Expense	302,301	345,202	452,329	583,900	706,600
Operating profit	1,322,053	1,936,092	3,155,122	4,210,365	5,350,423
Interest Income	87,213	105,739	113,857	131,009	152,935
Interest Expense	10,495	12,370	10,795	9,204	7,363
Net other Non-op. Income/(Loss)	7,068	12,202	5,688	4,000	4,000
Pre-tax profit	1,405,839	2,041,663	3,263,873	4,336,170	5,499,994
Income tax	233,407	326,266	576,361	768,345	989,788
Profit for the year	1,172,432	1,715,397	2,687,512	3,567,825	4,510,206
Minority interest	836	2,486	578	1,200	1,200
Net profit to ord. equity	1,173,268	1,717,883	2,688,091	3,569,025	4,511,406
EPS (NT\$)	45.2	66.2	103.7	137.6	174.0

Cash Flow Statement	NTD mn				
	2024	2025	2026E	2027E	2028E
Operating cash flow	1,826,177	2,434,705	3,746,800	4,777,778	5,869,164
Profit for the year	1,173,268	1,717,883	2,688,091	3,569,025	4,511,406
Depreciation & amortization	662,796	679,684	774,840	929,808	1,069,279
Change in working capital	-53,939	34,223	288,554	282,945	292,479
Others	44,052	-5,497	-4,685	-4,000	-4,000
Investing cash flow	-864,843	-1,194,907	-1,775,515	-2,315,100	-2,885,700
Capex	-956,007	-1,136,545	-1,775,200	-2,314,100	-2,884,700
Change in investment	-54,586	-17,833	-315	-1,000	-1,000
Others	145,750	-40,529	-	-	-
Free cash flow	870,170	1,298,161	1,971,600	2,463,678	2,984,464
Financing cash flow	-346,301	-593,223	-103,299	-185,938	-148,750
Change in Capital	-3,089	-580,663	-	-	-
Net Change in Debt	29,405	14,701	-103,299	-185,938	-148,750
Others	-372,617	-27,261	-	-	-
Exchange influence	47,166	-	-	-	-
Net increase in cash	662,199	646,575	1,867,986	2,276,740	2,834,713

Key Financial Ratios	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	33.9	31.6	41.6	32.8	24.6
Operating profit growth	43.5	46.4	63.0	33.4	27.1
Net profit growth	39.9	46.4	56.5	32.8	26.4
Profitability					
Gross profit margin	56.1	59.9	66.9	66.9	67.9
Operating Profit Margin	45.7	50.8	58.5	58.8	59.9
Net profit margin	40.5	45.1	49.8	49.8	50.5
Key Ratio					
ROA	17.5	21.7	27.3	28.5	27.9
ROE	27.1	31.5	38.7	38.7	36.4
Stability					
Gross debt/equity	0.5	0.5	0.4	0.4	0.3
Interest Coverage	188	197	347	519	797
Current Ratio	2.4	2.6	2.4	2.4	2.5
Quick Ratio	2.2	2.4	2.2	2.2	2.3
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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